

EasyJet plc Financial Performance Analysis **(2022-2024)**

FINANCIAL ACCOUNTING AND REPORTING

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Introduction

This report analyses EasyJet PLC's three year financial statements and analysis. To assess the company's financial performance, this report discusses key financial ratios which is essential to depict EasyJet's' profitability and liquidity (short-term and long-term/solvency). The ratio gives insight to the company's ability to generate profit and efficiently allocate resources. Moreover, this also provides information about EasyJet's main competitor, Ryanair PLC allowing for critical evaluation in this broad industry. By evaluating the financial ratios, this report provides a broader understanding of EasyJet's financial position.

Company Profile

EasyJet PLC

Founded in 1995, EasyJet operates in the airline industry with the mission to offer low-cost flights across Europe's major airports, making affordable travel accessible to all. With a fleet of over 300 aircraft, it serves more than 150 destinations and transported 89.7 million passengers in 2024, 75% of whom were repeat customers. EasyJet also offers services like EasyJet Plus and holiday packages. Key competitors include Ryanair, Wizz Air, and British Airways.

Ryanair PLC

Operating in 1984, Ryanair is a Irish low-cost airline which operates over 200 destinations in Europe, North Africa and the Middle East with a fleet of 590 aircrafts (Ryanair PLC,2024). Although, providing 184million guests with affordable travel and maintain profitability, Ryanair has faced challenges related to customer service, market competition and other factors such as increase in fuel prices.

Methodology

Using Microsoft Excel, this report compromises of financial statements of EasyJet plc with comparison to Ryanair plc from the years of 2022,2023 and 2024. This was extracted from annual reports of EasyJet plc and Ryanair plc (EasyJet PLC,2022,2023,2024; Ryanair plc,2022,2023,2024). With the use of the annual reports, data was collected to evaluate nine accounting ratios such as return on capital employed (ROCE),return on equity (ROE), operating profit margin (OPM), net profit margin (NPM),gross profit margin (GPM), current ratio (CR), quick ratio (QR), gearing ratio (GR) and interest cover ratio (ICR).

Consolidated Statement Analysis

1. Income Statement Analysis

Income statements are core financial analysis for showing profit and loss in a company

EasyJet plc Consolidated Income Statement				
£m	2022	2023	2024	
Revenue	5769	8171	9309	
Cost of Sales	-4402	-6119	-6979	
Depreciation & Amortisation	-566	-673	-770	
Gross Profit	801	1379	1560	
Expenses				
Marketing/Adverstising	-173	-232	-257	
Admin Expenses	-665	-705	-767	
Other income	10	11	53	
Operating Profit	-27	453	589	
Interest Recievables	26	132	141	
Interest Payables	-143	-180	-132	
Foreign Exchange loss/gain	-64	27	4	
PBT	-208	432	602	
Tax	39	-108	-150	
Net Profit /Loss	-169	324	452	

Figure 1- EasyJet plc Consolidated Income

EasyJet plc Consolidated Income Statement in percentage (%)				
£m	2022	2023	2024	
Revenue	100%	100%	100%	
Cost of Sales	76.30%	74.89%	74.97%	
Gross Profit	23.70%	25.11%	25.03%	
PBT	-3.61%	5.29%	6.47%	
Net Profit /Loss	-2.93%	3.97%	4.86%	

Figure 1.1- EasyJet plc Consolidated Income in %

Revenue increased 42% between 2022 and 2023 and 14% between 2023 and 2024, indicating a post-pandemic rebound fuelled by increased demand for air travel. Sales expenses rose, but at a slower rate than revenue, suggesting improved cost control. Net profit and gross profit both increased significantly each year.

Ryanair plc Consolidated Income Statement				
£m	2022	2023	2024	
Revenue	4800	10,775	13,448	
Cost of Sales	-4010	-7735	-9566	
Depreciation & Amortisation	-719	-923	-1060	
Gross Profit	71	2117	2822	
Expenses				
Marketing/Adverstising	-411	-674	-757	
Admin Expenses	-674	-1	-6	
Other income	675	1	1	
Operating Profit	-339	1443	2060	
Interest Recievables	0	42.4	144.8	
Interest Payables	-91	-76.8	-83	
Foreign Exchange loss/gain	1.2	34	5.5	
PBT	-428.8	1442.6	2127.3	
Tax	189	-128.7	-210.9	
Net Profit /Loss	-239.8	1313.9	1916.4	

Figure 2- Ryanair plc Consolidated Income

Ryanair plc Consolidated Income Statement in percentage (%)				
£m	2022	2023	2024	
Revenue	100%	100%	100%	
Cost of Sales	83.54%	71.79%	71.13%	
Gross Profit	16.46%	28.21%	28.87%	
PBT	-8.93%	13.39%	15.82%	
Net Profit /Loss	-5.00%	12.19%	14.25%	

Figure 2.1- Ryanair plc Consolidated Income in %

Figure 2 shows Ryanair income statements which the revenue has had a significant increase over the years also due to the pandemic. Additionally, their net profit has increased about 829% from 2022 to 2023 which underscores Ryanair's profitability and effectiveness.

In comparison, Ryanair have experienced a higher growth in revenue to EasyJet. However, EasyJet have managed to keep cost growth more in line with their revenue. Overall, Ryanair have been more profitable.

Financial Ratio Analysis

1. Profitability ratio

Profitability ratios is a financial metric which assess the company's ability to generate profit relative to its revenue, operating costs and balance sheets (Investopedia,2024). Figure 3 shows both EasyJet and Ryanair moving from losses to profit from 2022 to 2024. However, Ryanair consistently outperforms EasyJet in the profitability operations.

PROFITABILITY RATIOS			
Return on Capital Employed (ROCE)			
Year	2022	2023	2024
EasyJet plc	-0.40%	7.95%	8.97%
Ryanair plc	-2.23%	16.06%	19.12%
Return on Equity (ROE)			
Year	2022	2023	2024
EasyJet plc	-6.67%	11.63%	15.20%
Ryanair plc	-4.32%	23.28%	25.17%
Gross Profit Margin (GPM)			
Year	2022	2023	2024
EasyJet plc	13.88%	16.88%	16.76%
Ryanair plc	1.48%	19.65%	20.98%
Operating Profit Margin(OPM)			
Year	2022	2023	2024
EasyJet plc	-0.47%	5.54%	6.33%
Ryanair plc	-7.06%	13.39%	15.32%
Net Profit Margin (NPM)			
Year	2022	2023	2024
EasyJet plc	-2.93%	3.97%	4.86%
Ryanair plc	-5.00%	12.19%	14.25%

Figure 3- EasyJet plc and Ryanair plc Profitability Ratios (2022-2024)

1.1 Return on Capital Employed (ROCE)

ACCA (the Association of Chartered Certified Accountants) define ROCE as a ratio which shows how well a company has generated profit from its long-term financing. In 2023 the ROCE turned positive for EasyJet, whereas this is seen to be relatively slow growth indicating although EasyJet is improving to generate profit from its capital, Ryanair outperforms them with a sharp increase throughout the years.

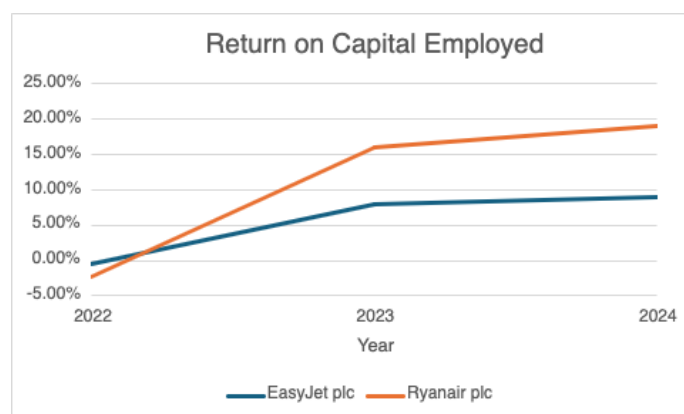


Figure 4 - EasyJet plc and Ryanair plc Return on Capital Employed (2022-2024).

1.2 Return on Equity (ROE)

ROE measures a company's annual return divided by the value of its total shareholders' equity (CFI,). EasyJet performs well around its equity after making a loss in 2022 in which its ROE was -6.67% and produce higher returns for its shareholders after. Ryanair also experienced a negative ROE in 2022, however, they exceeded past EasyJet with a strong growth after indicating more advanced efficiency in creating profit from shareholder's equity.

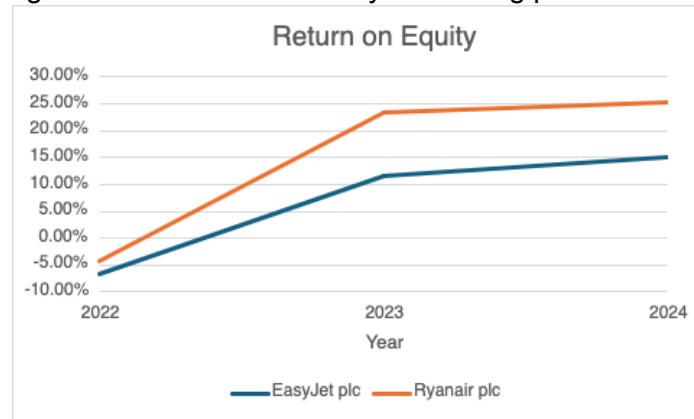


Figure 5 - EasyJet plc and Ryanair plc Return on Equity (2022-2024)

1.3 Gross Profit Margin (GPM)

GPM focuses on the operational trading activities (ACCA,2022). EasyJet showed an improvement on their GPM, but it slightly decreased in 2024 to 16.76%. Although it is positive, it is relatively lower than Ryanair's which shows that Ryanair ability to change revenue into gross profit effectively.

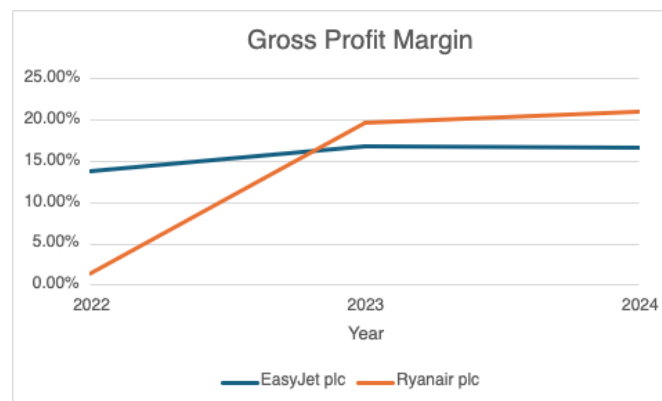


Figure 6 - EasyJet plc and Ryanair plc Gross Profit Margin (2022-2024)

1.4. Net Profit Margin (NPM)

NPM helps to understand whether the business is growing sustainably relative to its profitability (American Express,2024). EasyJet's NPV signalled a healthy recovery from 2022 showing greater profitability. Ryanair again overachieves this compared demonstrating a better ability to covert revenue into net income.

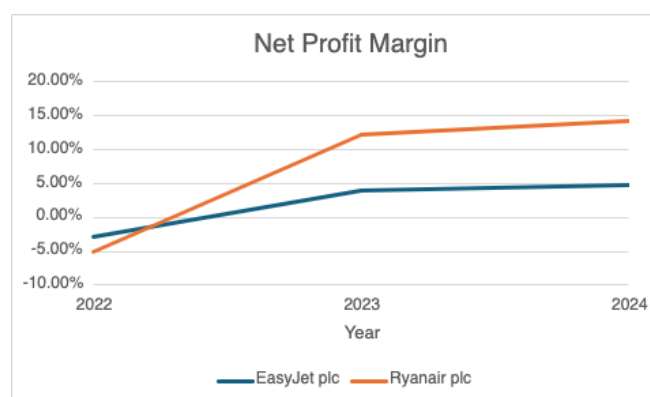


Figure 7 - EasyJet plc and Ryanair plc Net Profit Margin (2022-2024)

2. Liquidity ratio

LIQUIDITY RATIOS			
Current Ratio (CR)			
Year	2022	2023	2024
EasyJet plc	1.34:1	1:01	1.02:1
Ryanair plc	1.02:1	0.8:1	0.91:1
Quick Ratio (QR)			
Year	2022	2023	2024
EasyJet plc	1.34:1	1:01	1.02:1
Ryanair plc	1.02:1	0.8:1	0.91:1
Gearing Ratio (GR)			
Year	2022	2023	2024
EasyJet plc	0.63:1	0.51:1	0.55:1
Ryanair plc	0.43:1	0.37:1	0.29:1
Interest Cover Ratio (ICR)			
Year	2022	2023	2024
EasyJet plc	0.23:1	-9.44:1	65.44:1
Ryanair plc	3.73:1	-41.95:1	33.33:1

Figure 8- EasyJet plc and Ryanair plc Liquidity Ratios (2022-2024)

2.1 Current Ratio (CR)

CR defines a company's short-term liquidity to meet its short-term obligations annually (Elliot&Elliot,2019). In the three years, EasyJet remained steady in 2022 however it decreased to 1:1 in 2023 which shows the company had fewer current assets than current liabilities, but this had improved in 2024 indicating they can still meet its short-term obligations. Whereas Ryanair has a declining CR lower than 1 implying that it is having difficulty meeting its short-term obligations.

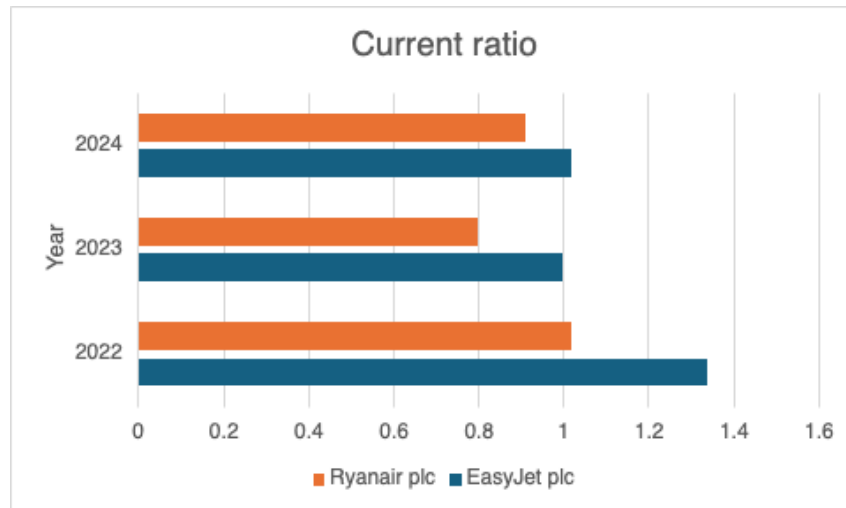


Figure 9- EasyJet plc and Ryanair plc Current Ratios (2022-2024)

2.2 Quick Ratio (QR)

QR indicates a business's short-term obligation with its most liquid assets (Investopedia,2024). EasyJet maintains a strong quick ratio indicating sufficient liquid assets without relying on inventory. On the other hand, Ryanair has downward trend and tighter liquidity ratio.

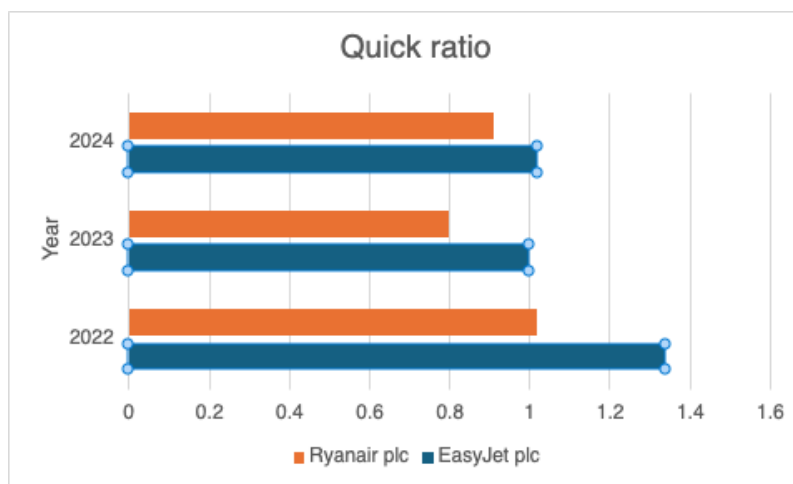


Figure 10- EasyJet plc and Ryanair plc Quick Ratios (2022-2024)

2.3 Gearing Ratio (GR)

GR helps measure its long-term debts. EasyJet has a higher gearing ratio portraying the company has a relatively higher proportion of debt, meaning an increase in financial risk. Ryanair has a lower gearing ratio indicating it is less exposed to financial risk and have a better approach to debt. However, EasyJet have still been maintaining their equity relatively.

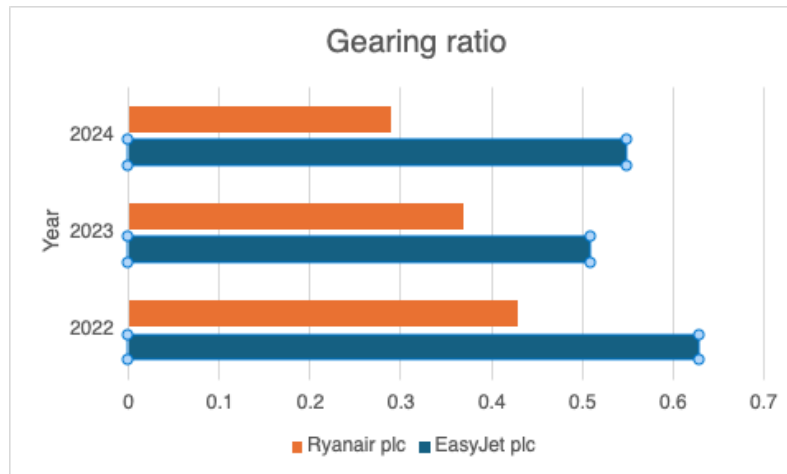


Figure 11 - EasyJet plc and Ryanair plc Gearing Ratios (2022-2024)

2.4 Interest Cover Ratio (ICR)

ICR can also be known as income gearing where it looks at how many times a company's PBIT exceeds its interest payable (ACCA,2022). EasyJet has improved its ICR in 2024 after decline in previous years. This shows profitability. Ryanair exceeds this with exceptional ICR demonstrating its lower financial risk related to debt.

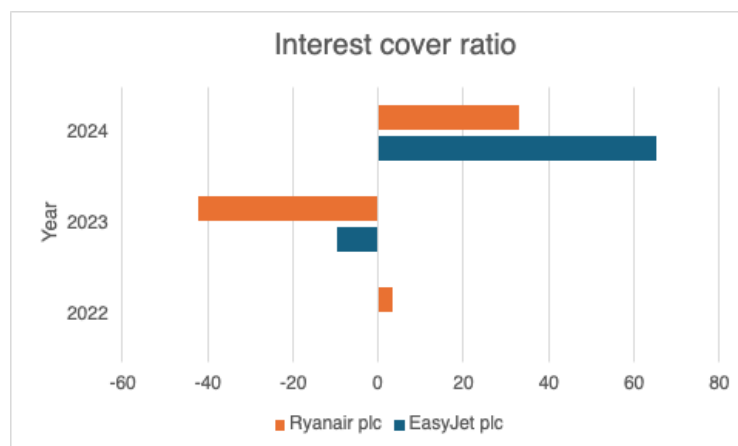


Figure 12 - EasyJet plc and Ryanair plc Interest Cover Ratios (2022-2024)

Summary and Conclusion

From the above analysis and calculations, we can depict that EasyJet have been successful in profitability and liquidity. Over the course of three years, in which 2022 was affected by COVID-19 pandemic, they have generated high sales revenue, increasing the annual net income. However, Ryanair remains in a stronger financial position in comparison. Financial statement analysis is important to track, measure and analyse the financial health in the company (Stobierski,2020), which this report emphasises.

Appendix

Appendix 1 : EasyJet plc and Ryanair plc Financial Statements (Years 2022,2023,2024)

EasyJet plc Annual Income Statement 2022 Year ended 30 September £m				EasyJet plc Annual Income Statement 2023 Year ended 30 September £m			
Revenue			5769	Revenue			8171
Cost of Sales			-4402	Cost of Sales			-6119
Depreciation & Amortisation			-566	Depreciation & Amortisation			-673
Gross Profit			801	Gross Profit			1379
Expenses				Expenses			
Marketing/Adverstising			-173	Marketing/Adverstising			-232
Admin Expenses			-665	Admin Expenses			-705
Other income			10	Other income			11
Operating Profit			-27	Operating Profit			453
Interest Recievables			26	Interest Recievables			132
Interest Payables			-143	Interest Payables			-180
Foreign Exchange loss/gain			-64	Foreign Exchange loss/gain			27
PBT			-208	PBT			432
Tax			39	Tax			-108
Net Profit /Loss			-169	Net Profit /Loss			324

EasyJet plc Annual Income Statement 2024 Year ended 30 September £m			
Revenue			9309
Cost of Sales			-6979
Depreciation & Amortisation			-770
Gross Profit			1560
Expenses			
Marketing/Adverstising			-257
Admin Expenses			-767
Other income			53
Operating Profit			589
Interest Recievables			141
Interest Payables			-132
Foreign Exchange loss/gain			4
PBT			602
Tax			-150
Net Profit /Loss			452

EasyJet plc Annual Report (2022,2023,2024)

Ryanair plc Annual Income Statement 2022 Year ended 31 March £m				Ryanair plc Annual Income Statement 2023 Year ended 31 March £m			
Revenue			4800	Revenue			10,775
Cost of Sales			-4010	Cost of Sales			-7735
Depreciation & Amortisation			-719	Depreciation & Amortisation			-923
Gross Profit			71	Gross Profit			2117
Expenses				Expenses			
Marketing/Adverstising			-411	Marketing/Adverstising			-674
Admin Expenses			-674	Admin Expenses			-1
Other income			675	Other income			1
Operating Profit			-339	Operating Profit			1443
Interest Recievables			0	Interest Recievables			42.4
Interest Payables			-91	Interest Payables			-76.8
Foreign Exchange loss/gain			1.2	Foreign Exchange loss/gain			34
PBT			-428.8	PBT			1442.6
Tax			189	Tax			-128.7
Net Profit /Loss			-239.8	Net Profit /Loss			1313.9

Ryanair plc Annual Income Statement 2024 Year ended 31 March £m			
Revenue			13,448
Cost of Sales			-9566
Depreciation & Amortisation			-1060
Gross Profit			2822
Expenses			
Marketing/Adverstising			-757
Admin Expenses			-6
Other income			1
Operating Profit			2060
Interest Recievables			144.8
Interest Payables			-83
Foreign Exchange loss/gain			5.5
PBT			2127.3
Tax			-210.9
Net Profit /Loss			1916.4

Ryanair plc Annual Report (2022,2023,2024)

Easyjet plc Consolidated Statement of Financial Position					
As at 30 Sept in 2021, 2022, 2023 & 2024 in £m					
		2022	2023	2024	
Non- current assets					
Goodwill		365	365	387	
Other intangible assets		217	276	406	
Property, plant and equipment		4629	4864	5475	
Derivative financial instrument		127	35	2	
Equity investment		31	31	51	
Restricted cash		3	2	-	
Other non-current assets		91	138	169	
Deferred tax assets		62	-	-	
Total non-current assets		5525	5711	6490	
Current assets					
Trade and other receivables		367	343	483	
Intangible assets		495	676	572	
Derivative financial instrument		423	186	29	
Other investments		-	-	2118	
Restricted cash		4	-	-	
Money market deposits		126	-	-	
Cash and cash equivalents		3514	2925	1343	
Total current assets		4929	4130	4545	
Total Assets		10454	9841	11035	
Current Liabilities					
Trade and other payables		-1685	-1764	-1656	
Unearned revenue		-1042	-1498	-1737	
Borrowings		-437	-433	-416	
Lease liabilities		-247	-217	-227	
Derivative financial instrument		-86	-54	-270	
Current tax payables		-5	-3	-9	
Provisions for liabilities and charges		-176	-175	-156	
Total current liabilities		-3678	-4144	-4471	
Net current assets		1251	-14	74	
Non-current liabilities					
Borrowings		-2760	-1462	-1690	
Unearned revenue		-1	-3	-4	
Lease liabilities		-866	-772	-947	
Derivative financial instrument		-22	-14	-51	
Non-current deferred income		-4	-4	-6	
Post-employment benefit obligation		-1	-7	-17	
Deferred tax liabilities		-	-22	-70	
Provisions for liabilities and charges		-589	-626	-806	
Total non-current liabilities		-4243	-2910	-3591	
Total liabilities		-7921	-7054	-8062	
Net assets		2533	2787	2973	
Shareholders' equity					
Share capital		207	207	207	
Share premium		2166	2166	2166	
Hedging reserve		170	113	-137	
Cost of hedging reserve		5	-2	-8	
Translation reserve		-6	72	72	
Retained earnings		-9	231	673	
Total equity		2533	2787	2973	

EasyJet plc Annual Report (2022, 2023, 2024)

Ryanair plc Consolidated Statement of Financial Position						
As at 31 March in 2021, 2022, 2023 & 2024 in £m						
			2022	2023	2024	
Non-current assets						
Property, plant and equipment			9095.1	9908.9	10847	
Right use of assets			133.7	209.1	166.5	
Intangible assets			146.4	146.4	146.4	
Derivative financial instrument			185.1	54.6	3.3	
Other non-current assets			72.1	168.9	183.2	
Deferred tax assets			42.3	6.6	2.1	
Total non-current assets			9674.7	10494.5	11348.5	
Current assets						
Inventories			4.3	6	6.2	
Other assets			401.1	878.6	1275.4	
Trade and other receivables			43.5	59.7	76.4	
Derivative financial instrument			1400.4	292.1	349.5	
Restricted cash			22.7	19.5	6.4	
Money market deposits			934.1	1056.2	237.8	
Cash and cash equivalents			2669	3599.3	3875.4	
Total current assets			5475.1	5911.4	5827.1	
Total Assets			15149.8	16405.9	17175.6	
Current Liabilities						
Provisions for liabilities and charges			9.2	19.8	46	
Trade and other payables			1029	1065.5	792.2	
Accrued expenses			2992.8	4783.5	5227.6	
Lease liabilities			56.9	43.2	39.4	
Current maturities of debt			1224.5	1056.7	50	
Derivative financial instrument			47.7	66.3	66.6	
Current tax payables			38.6	386.6	178.8	
Total current liabilities			5389.5	7421.6	6400.6	
Net current assets			85.6	-1510.2	-573.5	
Non-current liabilities						
Provisions for liabilities and charges			94.1	154.5	138.1	
Trade payables			49.2	-	-	
Derivative financial instrument			-	11.2	3.3	
Deferred tax liabilities			266.5	159.3	362	
Lease liabilities			81.4	163.1	125.2	
Non-current maturities of debt			3714.6	2853.2	2532.2	
Total non-current liabilities			4205.8	3341.3	3160.8	
Total liabilities			9595.3	10762.9	9561.4	
Net assets			5554.5	-10762.9	7614.2	
Shareholders' equity						
Share capital			6.8	6.9	6.9	
Share premium			1328.2	1379.9	1404.3	
Other undenominated capital			3.5	3.5	3.5	
Retained earnings			2880.9	4180	5899.8	
Other reserves			1325.9	72.7	299.7	
Total equity			5545.3	5643	7614.2	

Appendix 2 : Ratio Calculations

Return on Capital Employed (ROCE)

$$\text{ROCE} = (\text{PBIT} / \text{Equity} + \text{NCL}) \times 100\%$$

Where:

PBIT (Operating profit) = Profit before interest and tax

NCL= Non-current liabilities

EasyJet PLC					
£m			2022	2023	2024
Non-current liabilities			4243	2910	3591
Total Equity			2533	2787	2973
PBIT(Operating profit)			-27	453	589
ROCE %			-0.40%	7.95%	8.97%

Ryanair PLC					
£m			2022	2023	2024
Non-current liabilities			9674.7	3341.3	3160.8
Total Equity			5545.3	5643	7614.2
PBIT(Operating profit)			-339	1443	2060
ROCE %			-2.23%	16.06%	19.12%

Return on Equity (ROE)

$$\text{ROE} = \text{NP} / \text{Equity} \times 100\%$$

Where:

NP= Net profit

EasyJet PLC					
£m			2022	2023	2024
Net income			-169	324	452
Equity			2533	2787	2973
ROE %			-6.67%	11.63%	15.20%

Ryanair PLC					
£m			2022	2023	2024
Net income			-239.8	1313.9	1916.4
Equity			5545.3	5643	7614.2
ROE %			-4.32%	23.28%	25.17%

Gross Profit Margin (GPM)

$$\text{GPM} = \text{GP} / \text{Revenue} \times 100\%$$

Where:

GP = Gross Profit

	EasyJet PLC			
£m	2022	2023	2024	
Gross Profit	801	1379	1560	
Revenue	5769	8171	9309	
GPM %	13.88%	16.88%	16.76%	

	Ryanair PLC			
£m	2022	2023	2024	
Gross Profit	71	2117	2822	
Revenue	4800	10775	13448	
GPM %	1.48%	19.65%	20.98%	

Operating Profit Margin (OPM)

$$\text{OPM} = \text{PBIT} / \text{Revenue} \times 100\%$$

Where:

PBIT = Profit before interest and tax

	Easyjet PLC			
£m	2022	2023	2024	
Operating profit	-27	453	589	
Revenue	5769	8171	9309	
OPM %	-0.47%	5.54%	6.33%	

	Ryanair PLC			
£m	2022	2023	2024	
Operating profit	-339	1443	2060	
Revenue	4800	10775	13448	
OPM %	-7.06%	13.39%	15.32%	

Net Profit Margin (NPM)

$$\text{NPM} = \text{NP} / \text{Revenue} \times 100\%$$

Where:

NP = Net Profit

	Easyjet PLC		
£m	2022	2023	2024
Net profit	-169	324	452
Revenue	5769	8171	9309
NPM %	-2.93%	3.97%	4.86%

	Ryanair PLC		
£m	2022	2023	2024
Net profit	-239.8	1313.9	1916.4
Revenue	4800	10775	13448
NPM %	-5.00%	12.19%	14.25%

Current Ratio (CR)

$$CR = CA - CL$$

Where:

CA = Current Assets

CL = Current Liabilities

	EasyJet plc		
£m	2022	2023	2024
Current Assets	4929	4130	4545
Current Liabilities	3678	4144	4471
=	1.34	1.00	1.02
Current ratio	1.34:1	1:01	1.02:1

	Ryanair plc		
£m	2022	2023	2024
Current Assets	5475.1	5911.4	5827.1
Current Liabilities	5389.5	7421.6	6400.6
=	1.02	0.8	0.91
Current ratio	1.02:1	0.8:1	0.91:1

Quick Ratio (QR)

$$QR = (CA - I) / CL$$

Where:

CA = Current Assets

CL = Current Liabilities

I = Inventories

	EasyJet plc		
£m	2022	2023	2024
Current Assets	4929	4130	4545
Inventories			
Current Liabilities	3678	4144	4471
=	1.34	1.00	1.02
Quick ratio	1.34:1	1:01	1.02:1

	Ryanair plc		
£m	2022	2023	2024
Current Assets	5475.1	5911.4	5827.1
Inventories	4.3	6	6.2
Current Liabilities	5389.5	7421.6	6400.6
=	1.02	0.80	0.91
Quick ratio	1.02:1	0.8:1	0.91:1

Gearing Ratio (GR)

GR= Debt / Debt + Equity

(Only long-term debt so NCL (non-current liabilities) is used)

	EasyJet plc		
£m	2022	2023	2024
Non-current liabilities	4243	2910	3591
Equity	2523	2787	2973
=	0.63	0.51	0.55
Gearing ratio	0.63:1	0.51:1	0.55:1

	Ryanair plc		
£m	2022	2023	2024
Non-current liabilities	4205.8	3341.3	3160.8
Equity	5545.3	5643	7614.2
=	0.43	0.37	0.29
Gearing ratio	0.43:1	0.37:1	0.29:1

Interest Cover Ratio (ICR)

ICR= PBIT / Interest

Where:

PBIT= Profit before interest and tax

	Easyjet plc			
£m	2022	2023	2024	
PBIT	-27	453	589	
Interest	-117	-48	9	
=	0.23	-9.44	65.44	
Interest cover ratio	0.23:1	-9.44:1	65.44:1	

	Ryanair plc			
£m	2022	2023	2024	
PBIT	-339	1443	2060	
Interest	-91	-34.4	61.8	
=	3.73	-41.95	33.33	
Interest cover ratio	3.73:1	-41.95:1	33.33:1	

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